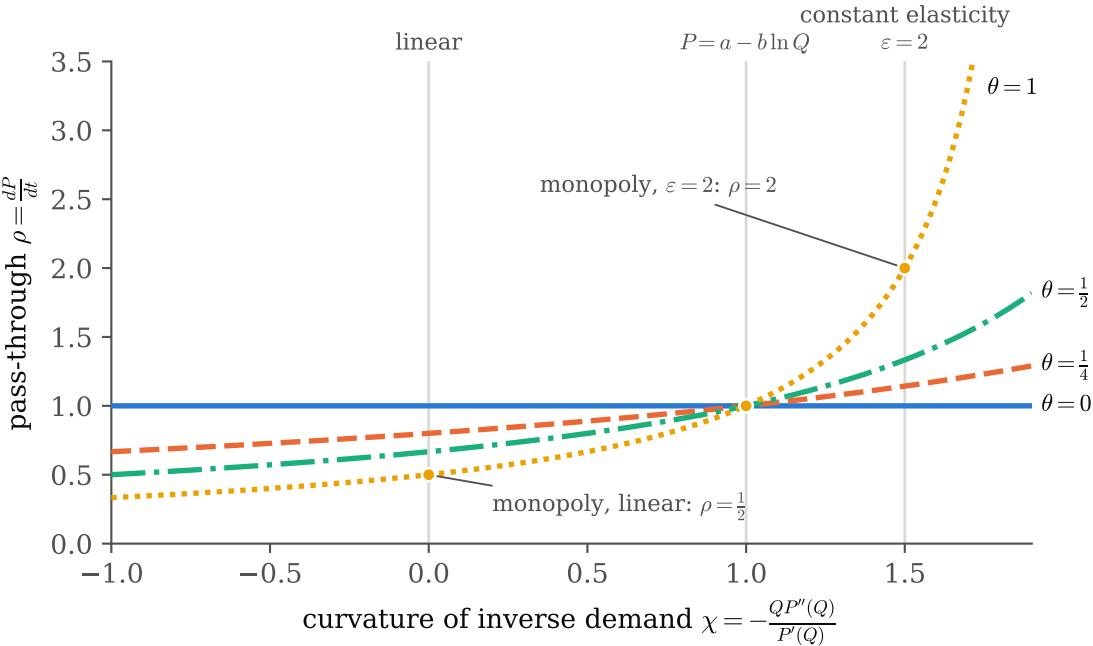
constant elasticity
linear
$P = a - b \ln Q$
$\varepsilon = 2$
$\theta = 1$
monopoly, $\varepsilon = 2$: $\rho = 2$
$\theta = \frac{1}{2}$
$\theta = \frac{1}{4}$
$\theta = 0$
monopoly, linear: $\rho = \frac{1}{2}$
pass-through $\rho = \frac{dP}{dt}$
curvature of inverse demand $\chi = -\frac{QP''(Q)}{P'(Q)}$
3.5
3.0
2.5
2.0
1.5
1.0
0.5
0.0
−1.0
−0.5
0.0
0.5
1.0
1.5